

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-06

**Impact Products, LLC *et al.*, Complainants v. Lihua Logistics Company Limited,
Respondent**

**COMPLAINANTS' RESPONSE IN OPPOSITION TO
RESPONDENT'S MOTION TO DISMISS**

INTRODUCTION

Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”; collectively the “Complainants”) were directly harmed by Lihua Logistics Company Limited’s (“Lihua” or “Respondent”) actions in charging Complainants demurrage, detention, and other related charges (the “Charges”). As a result, Lihua’s Motion to Dismiss should be denied. The test is not whether Complainants will ultimately prevail on their reparations claims, but whether they have properly pled a cause of action. Complainants are the party responsible for the Charges and should be able to bring their claims here. To the extent that this Tribunal determines that Complainants currently lack standing, Complainants have obtained an assignment from the NVOCC Laufer to bring the claims here.

BACKGROUND

On February 14, 2024, Complainants filed a verified complaint against Lihua alleging violations of 46 U.S.C. §§ 41102(c), 411404(a)(10) and seeking reparations pursuant to 46 U.S.C. § 41305. In the verified Complaint (the “Verified Complaint” or “Compl.”), Complainants allege that Lihua violated the Shipping Act by assessing demurrage, detention, per diem, and yard storage charges to Complainants for periods of time when Complainants ability to pick up the containers at the port, or return empty containers promptly, was significantly constrained due to

circumstances outside of the control of Complainants. (Compl., ¶ 3.) The Verified Complaint also alleges that Complainants paid for the Charges. (*Id.* ¶ 20.) The Charges were first issued by Lihua to Laufer Group International (“Laufer”), who is a non-vessel operating common carrier (NVOCC)¹ that Complainants used to assist in facilitating the retrieval of the relevant containers. (*Id.* ¶ 13.) Laufer, in turn, passed on the Charges to Complainants. (*Id.*) Ultimately, Complainants were the parties responsible for paying the Charges and paid the Charges. (*Id.* ¶¶ 13, 20.)

On March 20, 2024, Lihua filed a motion to dismiss the Verified Complaint (the “Motion”), claiming that under the direct purchaser rule, Complainants lack standing² to bring a reparation claims because they did not directly pay for any of the disputed Charges. (Mot., pp. 5–6.) As part of its Motion, Lihua requests that the Presiding Officer take “official notice,” pursuant to 46 C.F.R. § 502.226, as to whether there has been a service contract between Complainants and Respondent during the time period of the Complaint.³ (Mot., p. 4.)

LEGAL STANDARD

Because this matter is before the Commission on a motion to dismiss, the Commission reviews it under the standards of Federal Rule of Civil Procedure 12. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *4, 1 FMC 2d 440 (FMC Oct. 21, 2019). The Commission's Rules of Practice and Procedure do not provide for motions to dismiss, so the Commission exercises its

¹ Lihua contends that Laufer is a NVOCC, not a freight forwarder. (Mot., p. 6.) Complainants agree with the characterization of Laufer as a NVOCC in the instant case.

² Although Lihua’s “direct purchaser” arguments are couched in terms of “standing,” the Commission has found that the “direct purchaser rule” is related to antitrust standing, not constitutional or Article III standing (the lack of which is challenged under Fed. R. Civ. P. 12(b)(1)). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4, n.7.

³ Complainants believe the existence of a service contract between Complainants and Lihua is irrelevant to determine whether Lihua violated the Shipping Act, and whether Complainants are entitled to reparations under 46 U.S.C. § 41305. As a result, Complainants do not object if the Presiding Officer decides to take official notice as to whether there was a service contract between Complainants and Respondent during the time period of the Complaint. A shipper does not need to have a service contract with a carrier to bring suit for improperly charged demurrage, detention, and other fees.

gap-filling authority under 46 C.F.R. § 502.12 and applies Federal Rule of Civil Procedure 12(b) and the federal caselaw interpreting it. *Id.*; see *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620, 2014 WL 5316340, *6 (FMC Aug. 28, 2014). The appropriate standard in analyzing the applicability of the ‘direct purchaser rule’ is that of Rule 12(b)(6). See *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4.

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). The complaint should be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (The test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.)

In resolving a Rule 12(b)(6) motion to dismiss, the Commission must draw all reasonable inferences from the allegations in the complainant's favor and accept as true all factual allegations in the Complaint. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4. The focus at this stage is not whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *In Re: Vehicle Carrier Services*, 2018 WL 2214682, at *9, 1 F.M.C.2d 45, 53 (ALJ May 7, 2018).

ARGUMENT

Complainants have adequately asserted that they are the direct purchasers under the direct purchaser rule, as they alleged that they paid Lihua for the disputed Charges. (See Compl. ¶¶ 13, 20.) The focus at this stage of the proceedings should not be on whether Complainants can prevail on their reparation claims, but rather whether they adequately pled their reparation claim, which they have.

I. Complainants are the direct purchasers of the Charges.

Under the direct purchaser rule, parties suing for alleged overcharges can only recover reparations if they actually paid the carrier, received an assignment from the direct purchaser or are an agent of the direct purchaser. See *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *5; *S.A. Chiarella v. Pacon Express Inc.*, 2001 WL 1085424, at *4, 29 S.R.R. 335, 337 (FMC Aug. 15, 2001). This century-old principle limits recovery of reparations for violations of the Shipping Act to parties who suffer actual injury. See *In Re: Vehicle Carrier Services*, 2018 WL 2214682 at *26. The rule is consistent with the direct purchaser rule the Supreme Court developed in the antitrust context in *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

Lihua contends that the direct purchaser rule precludes Complainants from bringing a reparations claim against Lihua because Complainants did not directly pay for the disputed Charges. (Mot., p. 5–6.) In doing so, Lihua cites to numerous administrative decisions and caselaw as support, including *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. (*Id.*) But Lihua fails to provide the context of the decisions it cites as support.

The direct purchaser rule typically applies to cases where a complainant, representing multiple customers or consumers, lacks a direct enough connection to the respondent within the

chain of distribution to be considered a direct purchaser. *See Illinois Brick*, 431 U.S. at 726–37; *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. The Commission and the Supreme Court have pointed to three potential repercussions of allowing such parties to sue: (1) the risk of duplicative recovery (by both direct and indirect purchasers); (2) the evidentiary complexities and uncertainties regarding pass-through charges; and (3) the need for effective enforcement of federal maritime law by concentrating the full recovery in those with the closest relationship with the wrongdoers. *See Illinois Brick*, at 733-34; *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

For example, in *Illinois Brick*, the State of Illinois, representing a number of customers, filed an antitrust suit against a defendant brick manufacturer/distributor for allegedly engaging in illegal price-fixing. *Illinois Brick*, 431 U.S. at 727, 735. The State of Illinois, however, was neither the first nor the second purchaser of the bricks sold by the defendant. *Id.* at 726. Rather, the bricks were first purchased by masonry contractors, who used them to build masonry structures. *Id.* Those structures were then incorporated into entire buildings by general contractors, and ultimately sold to customers like the State of Illinois. *Id.* In holding that the State of Illinois was an indirect purchaser, the Court explained that the rule is necessary to avoid the complex task of accurately apportioning damages among various parties along the distribution chain. *Id.* at 730-37.

In *In Re: Vehicle Carrier Services*, the complainants, a group of consumers and vehicle dealers (group A) and a group of shippers and ocean transportation intermediaries (group B), brought class actions against the respondents, providers of vehicle carrier services. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. The complainants alleged that the respondents engaged in a conspiracy to fix-rates and manipulate market share for transporting vehicles aboard vessels.

Id. Particularly, Group A alleged that they paid the inflated rates indirectly, as they were passed along to them in the cost of buying or leasing a vehicle. *See id.* The Commission found that group A were indirect purchasers with no standing to seek reparations because they were too far removed from the chain of distribution to be considered direct purchasers. *See id.* at **7, 13–14. The Commission explained that there was a risk of duplicative recovery if the Commission ruled that the shippers, ocean transportation intermediaries, automobile dealers, vehicle purchasers, and lessees can all sue the respondents for reparations. *Id.* at **13–14. Moreover, the Commission found that determining reparations could easily involve complicated calculations that would be labor-intensive and a costly process for the parties and the Commission. *Id.* Lastly, the Commission emphasized the potential evidentiary complexities inherent in examining thousands of transactional documents and dates to understand what amount or percentage of the overcharge was passed along to each group of complainants in the distribution chain. *Id.*

Similarly, in *Guam v. Pacific Far East Line, Inc.*, the complainant tried “to sue for reparation on behalf of others.” *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966). That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Id.* Twenty-three years later, in 1989, Guam again tried to sue on behalf of others as parens patriae. *Gov’t of Guam v. Sea-Land*, 25 S.R.R. 842 (ALJ 1990). It met the same fate: *Guam’s* claim was dismissed. The Administrative Law Judge stated the view succinctly: “Insofar as the Complaint seeks reparation to Guam for shipments made by other shippers, it is hereby dismissed.” *Id.* at 842.

The case illustrations above are distinguishable from the present case. Unlike *Illinois Brick* and *In Re: Vehicle Carrier Services*, Complainants are not representing multiple customers or consumers, nor are they too far removed from the chain of distribution to be considered a direct

purchaser. The Verified Complaint is between Complainants and Lihua—there are no other parties involved. (*See generally* Compl.) Further, Complainants sufficiently allege that they paid Lihua for the disputed Charges. (*Id.* ¶¶ 13, 20.) Laufer invoiced Complainants the disputed Charges with no mark up, and Complainants were the parties responsible for paying those Charges. (*Id.*) *See also Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, Doc. 21 at p. 3 (FMC Sept. 29, 2023) (finding that the shipper had standing to bring claim when charges were assessed by carrier and rejecting the respondent’s direct purchaser rule argument that the NVOCC was the only proper party to bring the claim). This is unlike *Illinois Brick* or *In Re: Vehicle Carrier Services* where payment for the services/products had passed through various parties before getting to the complainants. *See In Re: Carrier Services*, 2019 WL 5558120, at *1; *Illinois Brick*, 431 U.S. at 726.

Additionally, the three concerns noted in *Illinois Brick* and *In Re: Vehicle Carrier Services* are inapplicable here. First, there are no risks of duplicative recovery by direct and indirect purchases. The only parties actually injured are Complainants—the parties responsible for paying the Charges. (Compl. ¶¶ 13–20.) *See Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. Ocema*, Docket No. 20-14, Doc. 150 at p. 70 (FMC Feb. 23, 2024) (discussing that the party sustaining the harm is the injured party). Here, the only parties that were harmed were Complainants. Further, no evidentiary complexities exist because the records regarding the disputed Charges are minimal, and are under the possession of Complainants. There will also be no need for a complex analysis on what amount or percentage of the Charges was passed along to Complainants because Complainants paid for all of the Charges. Most importantly, the effective

enforcement of maritime law will be accomplished because recovery will be provided to the party who was actually injured—Complainants.

The recent Final Rule for Demurrage and Detention Billing Requirements that becomes effective on May 28, 2024 provides further guidance that Complainants have standing to bring their claims here.⁴ The Final Rule cites *Landstar Exp. Am., Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 495 (D.C. Cir. 2009) for the proposition that traditional rules of agency apply under the Shipping Act. According to the Restatement (Third) Of Agency § 1.01 (2006): “As defined by the common law, the concept of agency posits a consensual relationship in which one person, to one degree or another or respect or another, acts as a representative of or otherwise acts on behalf of another person with power to affect the legal rights and duties of the other person. . . .” The principal has a right to control the actions of the agent, but “a principal's failure to exercise the right of control does not eliminate it.” Restatement (Third) Of Agency § 1.01 (2006). The Restatement also notes that an enforceable contract, written or oral, does not need to exist for there to be a principal-agent relationship. Restatement (Third) Of Agency § 1.01 (2006). NVOCCs simply passed through demurrage and detention charges billed to them on invoices generated by VOCCs. Final Rule, pg. 14361. By doing so, the NVOCC acts as an agent of the VOCC on the one hand, but also an agent of the shipper on the other hand when sending the pass-through charges to the NVOCC. Final Rule, pg. 14361. *See also A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp. 2d 454, 466 (S.D.N.Y. 2008) (discussing that NVOCC acts as agent for both carrier and cargo owner/shipper).

Accordingly, the Presiding Officer should decline to grant the Motion and find that Complainants sufficiently allege that they are the direct purchasers at this stage of the proceedings.

⁴ Complainants acknowledge that the Final Rule is not yet effective. However, the Rule simply explains existing law and supports Complainants’ position here.

II. In the alternative, Complainants will validly succeed to the reparations claim by assignment from Laufer.

In the event the Presiding Officer determines that Complainants are not direct purchasers, Complainants are still entitled to bring their reparations claim because they have received a valid assignment of the claim from Laufer.

Complainants can recover only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6. The Commission has consistently interpreted § 41301(a) as requiring complainants to establish that they have “paid the freight or succeeded to the claim in a valid fashion such as by assignment,” consistent with the direct purchaser rule. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6; *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 n.9 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 581 (ALJ 1977).; *3M v. Hapag Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981).

As the Presiding Officer acknowledged in *In Re: Vehicle Carrier Services*, in a number of cases, the Commission has permitted complainants to obtain an assignment of the claim, even after the statute of limitations has run. 2018 WL 2214682 at *35–37; *see Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Ocean Freight Consultants, Inc. v. The Bank Line Ltd.*, 9 F.M.C. 211, 212-213 (FMC 1966) (permitting a reparations claims by a company that “engaged in the business of auditing ocean freight charges,” whose services were performed on a percentage of collection basis, if it obtained an assignment of the claim).

For example, in *Adenariwo*, the Settlement Officer found the claim facially deficient because Mr. Adenariwo had not sufficiently demonstrated that the claim was assigned to him;

however, she allowed him time to obtain the assignment. *Adenariwo v. BDP Int'l*, 2012 FMC Lexis 42 at *12-14 (SO 2012). In her subsequent decision on the merits, the Settlement Officer accepted the assignment that Mr. Adenariwo obtained and ordered damages. *Adenariwo v. BDP Int'l*, 33 S.R.R. 503, 511 (SO 2013).

While Complainants contend that they are the proper parties to seek reparations, Complainants have obtained an assignment of their reparations claim from Laufer, who invoiced Complainants for the Charges as a pass-through as to the Charges invoiced by Lihua. (Compl., ¶13). Consequently, Complainants will still be entitled to recovery because they will be able to present evidence demonstrating that they received a valid assignment of the reparations claim from Laufer, the party Lihua claims paid them for the Charges. Accordingly, the Presiding Officer should deny Lihua's Motion because Complainants are entitled to reparations even if this Tribunal determines that Complainants currently lack standing.

CONCLUSION

For the foregoing reasons, the Presiding Office should decline to dismiss the Verified Complaint and find that Complainants have sufficiently allege a claim for reparations at this stage in the proceedings.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on April 4, 2024, a true and correct copy of the foregoing **Complainants' Response in Opposition to Respondents' Motion to Dismiss** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of February 28, 2024.

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